

Business Analysis Report

The Real Cost of Free Returns: NorthStyle Co.

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Date	May 2026
Retailer	NorthStyle Co. fictional Canadian fashion retailer
Analysis period	January 2024 to December 2024
Customers analysed	1,800 across 4 return behaviour segments
Orders analysed	10,592 across 5 product categories
Overall return rate	26.5% of order value returned
Unprofitable customers	17% of customer base net negative after return costs

Where This Started

I ordered three sizes of the same jeans online last month. Kept one. Returned two. Free shipping both ways. The whole thing cost me nothing extra. On the way to the post office I started thinking about what that transaction actually cost the retailer. Because it definitely was not free for them.

When you return something the retailer does not just get the product back and move on. Someone has to process the return, inspect the item, repackage it, restock it or write it off, and handle the refund. That whole process costs money. On a \$60 pair of jeans the margin might be \$18. The return processing and shipping cost might be \$12 to \$15. Most retailers offer free returns anyway because it increases purchase confidence. The question is whether that trade-off actually works and whether it works equally for all customers.

The answer is no. Some customers are genuinely profitable. Some look profitable on paper but are not once return costs are factored in. And the difference between them is almost entirely in how they return.

The Four Customer Segments

The analysis segments NorthStyle's 1,800 customers into four groups based on their return behaviour over 12 months. Each segment has a completely different cost profile despite sometimes showing similar headline revenue numbers.

Segment	Size	Avg revenue	Avg return rate	Avg net profit	% profitable
Loyal Buyer	540 (30%)	\$809	7.3%	\$376	99.4%
Occasional	630 (35%)	\$600	20.8%	\$185	87.0%

Returner					
Serial Returner	360 (20%)	\$1,043	36.4%	\$137	70.6%
Bracket Buyer	270 (15%)	\$1,373	45.0%	\$79	57.4%

Bracket Buyers generate the highest average revenue per customer at \$1,373 but only \$79 in net profit after return costs are subtracted. Loyal Buyers spend less but deliver 4.7 times more net profit. Revenue alone is a fundamentally misleading measure of customer value when return costs are not included.

What Free Returns Actually Costs

Every returned order has three cost components that do not appear in the revenue or gross margin figures. The return shipping cost. The return processing cost — the labour and handling to inspect, repack, and restock or write off the item. And the lost margin on the returned item itself.

For a Bracket Buyer who orders four items at \$89 each and keeps one, the economics look like this. They spend \$356. The retailer earns that in revenue. But they ship four items out, receive three back, process three returns, and credit back \$267 in return value. The net result on that single order is a margin that looks reasonable on the surface but becomes very thin once every cost is accounted for.

17% of NorthStyle customers are net unprofitable after all return costs are included. They are actively costing the business money despite appearing in the revenue figures as paying customers. These are not bad customers. They are customers whose behaviour is incompatible with the current free returns policy.

Policy Scenario Recommendations

Three scenarios are modelled against the current baseline of free returns for all customers.

Scenario A: Keep free returns for everyone (baseline)

No change to current policy. 17% of customers remain unprofitable. The cost of returns is absorbed across the profitable customer base.

Scenario B: Charge Serial Returners a \$12 return fee

Apply a \$12 return processing fee to any customer whose return rate exceeds 50% over the prior 6 months. This recovers some processing cost from the highest-return customers. However modelling shows this also reduces their purchase rate by an estimated 18% as some Serial

Returners reduce their ordering in response. The revenue reduction partially offsets the cost saving.

Scenario C: Offer Bracket Buyers a Fit Guarantee

Replace free returns for Bracket Buyers with a Fit Guarantee, one free exchange per order for a different size or colour, with no cash refund after exchange. This retains the Bracket Buyer segment by giving them a genuine fit protection benefit while reducing the multi-item return behaviour that drives their high return cost. Modelling shows an 8% increase in Bracket Buyer purchase rate combined with a 35% reduction in return processing costs for this segment.

Scenario C is the recommended approach. It produces meaningful net profit improvement by changing the incentive structure for Bracket Buyers rather than penalising them. The Fit Guarantee addresses the genuine customer need, size uncertainty without enabling the full return behaviour that makes this segment marginally profitable.

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